

FY26 TAX PROVISION AND CONTROLLERSHIP DEFINITIONS

APPROVED DEFINITIONS AND CONTROL FRAMEWORK

Alder Ridge Mechanical | Effective for the 2026-06-30 close and FY27 planning cycle

Authority and version control

Use executed agreements and signed policies for definitions, controller-reviewed workpapers for current management assumptions, raw exports for their stated cutoff, and Vista ERP for posted Alder Ridge populations. Earlier workbooks and banker cases are retained for audit history only.

Required control principles

Keep posted, pro-forma, forecast, external-market, and transaction-target measures separately labeled. Preserve units and periods. Reconcile bridges and roll-forwards without plugs. Management preference does not override approval status, contractual definitions, or stated risk limits.

annual income-tax provision model

Rebuild pretax book income from the trial balance and apply permanent, temporary, and current-only adjustments to current taxable income as labeled.

Current tax equals federal current tax plus state current tax calculated from the approved 50%-sales, 25%-property, 25%-payroll apportionment and state NOL limits; do not replace it with a generic blended state-rate add-on.

Measure temporary-difference DTA, state-credit DTA, valuation allowance, net DTA, and DTL separately at their stated enacted rates.

Present deferred tax expense as positive and a deferred tax benefit as negative. It equals the change in net deferred tax liability; total provision equals current tax plus deferred tax expense and must reconcile to pretax book income.

Quarterly cash-tax and estimated-payment forecast

Calculate each quarterly federal and state payment from its own taxable-income forecast, credits, and safe-harbor percentage.

Apply opening federal prepaid and state payable only to the first forecast payment.

Ending payable/prepaid reconciles full-year forecast tax liability with opening positions and the four estimated payments.

Multistate income-tax apportionment

Calculate each state's three-factor apportionment with 50% sales, 25% property, and 25% payroll weights.

Apply the state statutory rate to apportioned income, then use NOLs subject to the 80% state-income limit.

The blended rate is net state tax divided by total apportionable income; rank jurisdictions by net state tax.

Adjusted EBITDA and non-GAAP reconciliation

Reconcile GAAP net income to posted EBITDA using D&A, interest, and income tax expense.

Apply the non-GAAP policy conclusions exactly; ordinary ERP implementation and recruiting costs remain in adjusted EBITDA.

Adjusted EBITDA margin uses posted LTM revenue, and the largest rejected item is ranked by proposed dollar adjustment.

Service deferred-revenue recognition forecast

Allocate each contract's transaction price to maintenance, monitoring, and implementation in proportion to the three stated standalone selling prices.

Recognize implementation once, on its documented completion date. Recognize maintenance and monitoring ratably by actual calendar day from the inclusive service-coverage start through end dates; H2 is July 1 through December 31, 2026.

Apply a cancellation only when the contract schedule states an effective date; no listed contract cancels before December 31, 2026. Ending deferred revenue equals advance billings less cumulative allocated revenue recognized through December 31, contract by contract.

Use the Vista ERP to reconcile the active contract population and ARR. Derive opening deferred revenue from advance billings less pre-July contract-schedule recognition; do not treat ARR as a deferred-revenue balance.

Deferred tax, NOL, and Section 163(j) roll-forward

Apply the Section 163(j) limit to current business interest first, then use opening carryforward only against remaining capacity.

The preliminary taxable-income input already reflects a deduction for the full current-year business-interest expense; add that expense back, then subtract only the permitted current deduction and any opening carryforward used to derive taxable income before NOLs.

Apply the statutory NOL utilization limit after the interest-limitation calculation and retain vintage balances in the roll-forward.

Use NOL vintages oldest first; the requested ending_federal_nol headline is the numeric total ending federal NOL carryforward, not an array or schedule.

Measure temporary differences at their documented enacted rates and keep gross DTA, gross DTL, and valuation allowance visible.

Recognize the ending disallowed-interest carryforward as a federal DTA without duplicating the current interest deduction.

Roll the FY26 ending NOL and disallowed-interest attributes through FY27 and FY28. Apply Section 163(j) to current interest first, use carryforward only against residual capacity, then apply the 80% NOL limitation and oldest vintages.

Within each forecast year, use Alder Ridge's existing NOL vintages first and then the acquired-business NOL against any residual 80%-limitation capacity, with the acquired amount also capped by the annual Section 382 limit.

Report annual current tax, ending NOL, ending interest carryforward, and the FY28 federal deferred-tax asset on those tax attributes.

Contract modification, SSP, and revenue bridge

Allocate the original consideration across original obligations and recognize revenue through the modification date before changing the contract.

The original contract includes one training obligation with the documented original-date SSP; it is undelivered at modification. The modification adds one additional distinct training obligation, so the prospective training category contains two obligations measured at the modification-date training SSP.

Because added goods are distinct but not priced at standalone selling price, account prospectively for remaining goods as a terminated-and-new contract.

Combine remaining original consideration with modification consideration and reallocate using modification-date SSP for remaining obligations.

Monitoring SSP and recognition must reflect both undelivered original months and the added twelve months; report one combined allocation for the two remaining training obligations and reconcile all allocations to the new pool.

Extend the modification accounting into a Q3/Q4 prospective revenue schedule. Recognize installation by approved cumulative completion, monitoring ratably by remaining service months, and each distinct training obligation only when delivered.

Exclude variable consideration that does not meet the signed probability threshold, reconcile quarterly revenue to the remaining allocation, and roll billings to the December contract balance.

Free-cash-flow and non-GAAP policy reconciliation

Reconcile from GAAP net income to GAAP EBITDA, management adjusted EBITDA, and covenant EBITDA as distinct definitions.

Exclude ordinary recruiting and unachieved prospective savings from management adjustments even if they appear in a prior deck.

Standard free cash flow is operating cash flow less total capex; show management adjustments separately and do not relabel them as standard FCF.

Apply the covenant addback cap to permitted requested addbacks and calculate leverage only on the resulting covenant definition.

For the covenant calculation, the documented permitted requested addbacks are acquisition integration cost, share-based compensation, and restructuring cash cost; apply the cap to their aggregate. The requested covenant_permitted_addbacks headline is the permitted dollar total, although an exact itemized list with amounts is also acceptable.

Roll covenant EBITDA and funded debt into the lender downside using item-specific addback reversals and scheduled debt reduction. Reapply the documented covenant cap percentage to forecast reported EBITDA; do not carry the LTM permitted-addback dollar amount mechanically into the forecast.

Separately test investor non-GAAP materiality and standard versus management cash conversion. Report downside leverage headroom, disclosure items, and both cash-conversion ratios.

Stock-versus-asset transaction tax structure

Value only the documented depreciable and amortizable tax-basis step-ups over their respective statutory lives.

Discount annual tax shields at the approved tax-structure discount rate and keep transaction costs outside tax-basis benefits.

Compare the total step-up benefit with seller gross-up and incremental transaction costs on a consistent buyer basis.

The recommendation must pass legal feasibility, positive economics, and the buyer's incremental-consideration limit independently.

Rebuild the step-up tax shield by asset class using bonus depreciation, class lives, and the mid-year convention rather than a single blended annuity.

For each class, deduct the documented bonus amount in Year 1, apply the 0.50 mid-year factor to the remaining straight-line deduction in Year 1, use a full straight-line deduction in intermediate years, and use 1.50 times that deduction in the final recovery year so the full basis is recovered. Discount each year's tax shield at the mid-year point using an exponent of year minus 0.50.

In the legacy labeled outputs, `annual\_depreciation\_tax\_shield` is the combined Year-1 shield for Machinery and Building systems, while `annual\_goodwill\_amortization\_tax\_shield` and `pv\_goodwill\_tax\_shield` are for the Goodwill class only; Customer relationships remain a separate amortizable class included in the total and class-level schedules.

Define `incremental\_asset\_structure\_cost` as the seller's required asset-deal gross-up plus asset-deal transaction costs minus stock-deal transaction costs.

Define `seller\_gross\_up\_shortfall\_to\_economic\_ceiling` as the maximum economic seller gross-up minus the seller's required gross-up; a positive amount is headroom below the economic ceiling and a negative amount is a shortfall.

Use the class-level shield in the buyer economics, calculate the seller gross-up shortfall to the economic ceiling, and test legal feasibility, consideration capacity, and positive NPV independently.

System reconciliation schedule

Analysis	Accounting-system reconciliation
annual income-tax provision model	No Alder Ridge ledger tie required
Quarterly cash-tax and estimated-payment forecast	No Alder Ridge ledger tie required
Multistate income-tax apportionment	No Alder Ridge ledger tie required
Adjusted EBITDA and non-GAAP reconciliation	Vista ERP P&L plus general-ledger account 6700; Revenue less Cost of Revenue and Operating Expense plus Depreciation; Vista ERP P&L, 2025-07-01 through 2026-06-30; Revenue total
Service deferred-revenue recognition forecast	Vista ERP service agreements active at 2026-06-30; annual value
Deferred tax, NOL, and Section 163(j) roll-forward	No Alder Ridge ledger tie required
Contract modification, SSP, and revenue bridge	No Alder Ridge ledger tie required
Free-cash-flow and non-GAAP policy reconciliation	No Alder Ridge ledger tie required
Stock-versus-asset transaction tax structure	No Alder Ridge ledger tie required